Individual reflection report

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Question 1: Ethicality of earnings management (EM) practices

Various definitions of EM exist in the accounting literature, with no consensus on a universally accepted interpretation. Schipper (1989) defined EM as deliberate interventions in financial reporting for private benefits, rather than ensuring reporting neutrality. Healy and Wahlen (1999) further argued that EM occurs when managers alter financial reporting to distort the firm's actual performance or influence outcomes related to financial statement information. A more widely accepted definition, provided by Akers et al. (2007), described EM as the manipulation of reported earnings through various accounting techniques aimed at influencing short-term financial results.

El Diri (2018) noted that EM arises from various motivations, which prompts managers to intervene in the financial reporting process to achieve specific outcomes, often aligning immediate-term earnings with expectations or goals.

Given these diverse definitions and motives, it is essential to assess the acceptability of such practices. To guide this analysis, I will apply the six-factor model (Merchant and Rockness, 1994; Grasso et al., 2009) to evaluate the acceptability and ethical viability of the four items analyzed in Hollywood Bowl Group PLC (HBG) in our Group Coursework.

Based on the indications of Nobakht and Acar in 2020, the four items are all classified as accounting choices, as they primarily involve decisions on the presentation of financial information rather than operational changes.

Additionally, they align with GAAP and follow the annual reporting period.

To begin with, attention was given to the Revenue Recognition and Credit Sales policy. HBG's adherence to standardized accounting principles is evident through comprehensive disclosures, suggesting no deliberate income adjustments. Furthermore, the receivables-to-sales ratio, compared with industry averages, showed no material discrepancies. Therefore, HBG's revenue practices can be considered generally acceptable, with no indication of any intentional adjustments (Kothari et al., 2005).

Secondly, Depreciation on PPE was examined. The policy remained unchanged during the pandemic, and the relatively high depreciation ratio compared to peers indicated no upward earnings distortion. Notably, separate disclosures for freehold-backed assets enhanced transparency, allowing stakeholders to assess potential impacts through re-casting. It suggested no intention to obscure depreciation effects or manipulate earnings, making these practices relatively acceptable.

Lastly, the Amortization and Impairment losses of intangible assets are reviewed. HBG provided adequate information and applied a conservative discount rate, demonstrating risk awareness. However, the consistently zero impairment losses over three years may suggest overly optimistic estimates, which implied an income-increasing tendency, potentially aimed at preserving profitability. Despite providing sensitivity analysis, the assumption that book value would not exceed recoverable value remains unverifiable. Hence, the reliance on subjective judgments made its acceptability debatable despite formal compliance.

To further explore EM, it is crucial to examine both its ethical implications and practical acceptability, which involves distinguishing EM from financial

fraud, evaluating the ethical spectrum of EM behaviors, and considering further impacts on investor decision-making.

Although both EM and financial fraud involve manipulation, EM operates within legal accounting boundaries, whereas fraud entails clear violations and intentional deception (Latif et al., 2021). Although EM may not constitute fraud in a legal sense, its ethical legitimacy remains debated, especially when managerial intent and stakeholder consequences are taken into account.

The ethicality of EM remains a nuanced issue. Schipper (1989) viewed it as inherent to financial reporting and not necessarily detrimental to earnings' informativeness. Dye (1988) suggested that shareholders may tolerate EM when it aligns with their financial interests, while Kaplan (2001) found it more ethically acceptable when contributing to the firm’s overall success.

Given this ambiguity, it is vital to identify the specific nature of EM behaviors. Ronen and Yaari's (2008) classification of EM into white, grey, and black types provides a useful framework, reflecting varying degrees of transparency and ethical concern. HBG’s accounting choices, such as revenue recognition and depreciation, aligned more with white EM due to the transparency and consistency. However, its impairment policies, particularly the persistent zero-loss estimates, leaned toward grey EM, requiring further scrutiny.

This classification has implications for investor perceptions. Transparent disclosures and consistent accounting methods, as observed in HBG’s revenue and depreciation policies, have enhanced investor confidence and reduced perceived risks. Dechow et al. (2010) similarly emphasized that such practices can improve earnings quality and reduce related threats. In contrast, optimistic impairment assumptions and unverifiable recoverable values may mislead

stakeholders regarding asset valuation and long-term performance. As Fowler (2023) noted, these practices would distort perceptions of financial health and result in misinformed investment decisions. Therefore, while most of HBG's EM practices appeared justifiable, elements of grey EM warrant closer examination to mitigate decision-making risks.

Question 2: Limitations of my group coursework

Accounting analysis involves scrutinizing financial statements to examine a company's overall financial performance and operational efficiency. It provides stakeholders with crucial insights by analyzing key elements such as revenue recognition and asset management. As Healy and Palepu (2000) pointed out, disclosure reduces information asymmetry, which is vital for understanding how accounting policies and estimates affect reported financial performance.

In our group project, we conducted an in-depth accounting analysis of HBG, focusing on four key items, focusing on four key areas, offering insights into the company's financial strategies, and highlighting significant aspects of their financial reporting. However, it is significant to recognize the constraints that may affect the accuracy and reliability of our findings.

While our group made a concerted effort to ensure a comprehensive accounting analysis, several limitations should be noted. Firstly, the identification of EM was primarily based on observable ratios and policy disclosures without incorporating managerial intent or internal decision-making rationale, which may limit the depth of our ethical evaluation (Wagener, 2023). As discussed in our

previous presentation, motivations for EM, such as performance-linked bonuses and the desire to attract investment, are embedded in the firm's operational structure. Although our line-item analysis has excluded the possibility of significant distortions, these motives remain unchallenged and must be considered as potential influences on financial reporting.

In addition, some analyses, particularly those related to impairment testing, could have benefited from integrating industry benchmarks and investor sentiment. These elements provide valuable insights into the potential impact of impairment losses, which are often shaped by market perceptions (Kumar and S, 2024). These factors were not incorporated into our analysis, which limited the robustness of the impairment evaluation. Furthermore, without incorporating market valuation techniques and industry benchmarks, the reliability of impairment testing was compromised, potentially affecting the accuracy of assessments regarding recoverable amounts (Corporate Professionals, 2023).

Moreover, an important limitation arose from the insufficient comparability between HBG and the selected peers. These peers exhibit substantial differences in size and operational scope, with some financial data displaying extreme values. Such variations may introduce distortions into our comparative judgments and undermine the robustness of our conclusions. Ideally, benchmarking HBG against industry averages through databases like WRDS would have provided a more rigorous analysis. However, the extensive data collection required makes this approach impractical within the constraints of our current study.

After outlining the limitations of our analysis, the following recommendations aim to further improve the robustness and depth of future evaluations, ensuring

a more comprehensive and reliable assessment of the company's financial practices.

As a starting point, it is crucial to evaluate the company's accounting strategy to identify potential EM practices. As Dechow et al. (2010) suggest, determining whether the strategy follows income-increasing, income-decreasing, income-smoothing, or neutral practices can help classify the company's financial behavior, which helps to assess the strategic application of EM. Future analyses should integrate more qualitative factors to enhance the depth of the evaluation and gain deeper insights into the underlying motivations for EM.

Moving forward, reviewing accounting estimates over time is crucial to distinguish between compulsory changes due to regulations and voluntary changes driven by management discretion. As Schipper (1989) notes, voluntary changes reflect proactive management decisions. In this regard, future evaluations should integrate external market factors, which will not only enhance the evaluation of impairment but also provide a more comprehensive understanding of management's discretionary choices.

Ultimately, benchmarking against industry standards is necessary to assess HBG's position relative to peers. Comparing HBG's practices with industry averages, as Dechow et al. (2010) suggested, helps determine alignment with industry norms. However, as previously noted, the lack of sufficient comparability between HBG and its peers limits our analysis. To address this, future analyses should involve a more rigorous benchmarking process, incorporating a broader sample of peers with similar characteristics, such as company size, market share, and geographic scope.

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